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THE WEST ASIA CONFLICT HAS DISRUPTED OIL AND GAS SUPPLIES AND BROUGHT THE RUPEE UNDER MORE PRESSURE. A PROLONGED WAR COULD HAVE WIDER ECONOMIC RAMIFICATIONS

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JUST AS COUNTRIES across the world were beginning to heave a sigh of relief after the US Supreme Court struck down the reciprocal tariffs imposed by US President Donald Trump, a new crisis opened up.

On February 28, the US and Israel began coordinated attacks on Iran, killing Iran's Supreme Leader Ayatollah Ali Khamenei and sparking Iranian attacks across West Asia. As the war escalated, energy supplies, global trade and supply chains came under intense pressure as Iran blockaded the crucial Strait of Hormuz.

The Strait of Hormuz, which extends between Oman and Iran, is a vital maritime corridor for global shipments and connects the Persian Gulf with the Gulf of Oman and the Arabian Sea. As per a CareEdge report, about 20% of the global oil supply and one-third of the world's liquified natural gas (LNG) flows through the Strait.

The other route is through the Red Sea via the Suez Canal, but this has been disrupted for over a year because of attacks by the Houthi rebels of Yemen, with just about 30% of the usual traffic flowing through it.

Kristalina Georgieva, Managing Director of the International Monetary Fund, says global economic resilience is being tested yet again. "This conflict, if it proves to be more prolonged, has obvious potential to affect global energy prices, market sentiment, growth, and inflation, placing new demands on policymakers," she warned, adding that for most of Asia, what is at stake is energy security and, through that, confidence. Stock markets across the world have seen wild swings since the war broke out.

